

Assignment 6.1: Strategic and Enabling Priorities – Lumora HealthTech Case

Instructor Version

Course Module: Strategic and Enabling Priorities

Estimated Time: 60 minutes individual work

Assignment Type: Decision Simulation – Written Analysis

1. Assignment Context

Lumora HealthTech is a mid-sized B2B HealthTech company headquartered in Germany. Its flagship product is a **Diagnostic Decision Support System (DDSS)** built for **diagnostic laboratories** in **Germany and Austria**. Lumora's DDSS integrates structured diagnostic data (e.g. lab panels, patient history, and symptoms) and provides compliant, scalable, and precise diagnostic support — helping lab professionals improve diagnostic accuracy and workflow efficiency.

Over the past year, Lumora has clarified its strategy using the Strategy-in-Action Canvas. The following strategic choices have been finalized:

Strategic Choice	Decision
Geography	Germany and Austria only (no Switzerland or other expansion at this stage)
Customer Segment	Diagnostic laboratories only (no private clinics, patients, or hospitals)
Product Focus	Diagnostic Decision Support System (DDSS) using structured data
Value Proposition	<i>“Precision diagnostics at scale”</i> — with emphasis on trust, compliance, and workflow integration
Operating Model	Scalable B2B SaaS model, no mobile apps, no hospital pilots, no D2C

Having clarified *where to play*, *how to win*, and *how to play*, Lumora's leadership must now determine **what to prioritize** over the next 3–5 years. The next step in strategy execution is to define Lumora's **Strategic and Enabling Priorities**, using a structured, options-based approach.

2. Your Task

You are a Strategy Advisor working with Lumora's executive team. Your assignment is to:

- **Identify and prioritize Strategic and Enabling Priorities** for Lumora HealthTech's next 3–5 years.
- Use the **four-step options-based approach** from Module 6 to select the right priorities:
 1. Identify a set of candidate initiatives (both Strategic and Enabling)
 2. Assess each option by Importance and Addressability
 3. Choose the top priorities and allocate them across the Three Horizons
 4. Refine the portfolio using an Impact/Effort assessment and define actions (Stop, De-Emphasize, Invest, Build)

This is a simulation: focus on structured judgment, not external research. Use only information from the case and previous modules.

3. Assignment Instructions

Step 1 – Identify Options (5 mins)

List **6–8 potential initiatives** Lumora could consider. These can be either:

- **Strategic Priorities:** initiatives that directly enhance Lumora's competitive positioning (e.g., market expansion, product enhancements)
- **Enabling Priorities:** initiatives that build capabilities or infrastructure to support the strategy (e.g., systems, talent, partnerships)

Use your understanding of Lumora's current focus (DE/AT labs, DDSS, compliance, structured data) and recent limitations (e.g., limited onboarding speed, AI-readiness gaps) to generate realistic options.

Step 2 – Assess Importance and Addressability (15 mins)

For each option, assess:

- **Importance:** How critical is this to the strategy?
- **Addressability:** How feasible is it to implement (based on current capabilities, resources, and timing)?

Create a **2×2 Importance/Addressability matrix** and categorize each option:

- Top-left: High Importance / Low Addressability → Stretch Goals
- Bottom-left: Low Importance / Low Addressability → Drop
- Bottom-right: Low Importance / High Addressability → De-Prioritize
- Top-right: High Importance / High Addressability → Prioritize

Step 3 – Choose Priorities (15 mins)

From the matrix, choose **2–3 Strategic Priorities** and **2–3 Enabling Priorities** to pursue. For each, specify:

- Which **Horizon** it belongs to (H1: Core business, H2: Adjacent opportunities, H3: Future bets)
- Why it was chosen
- How it aligns with Lumora’s overall strategy

Step 4 – Refine the Portfolio (15 mins)

Use an **Impact vs. Effort matrix** to further analyse your selected priorities. Then, classify your portfolio using the **Stop / De-Emphasize / Invest / Build** framework:

- **Stop** = Cease non-strategic activities
- **De-Emphasize** = Maintain table stakes at a lean level
- **Invest** = Strengthen differentiating capabilities
- **Build** = Develop new capabilities critical to future growth

Write 2–3 bullet points under each action type.

4. Grading Rubric (for students)

Section	Criteria	Points
Step 1 – Option Identification	6–8 relevant options identified; distinction between Strategic vs Enabling priorities is clear	10

Section	Criteria	Points
Step 2 – Importance & Addressability	Matrix completed with reasonable assessments; correct prioritization	20
Step 3 – Portfolio Choice	Clear rationale for selected priorities; well-justified horizon allocation	30
Step 4 – Portfolio Refinement	Insightful classification using Impact/Effort and Stop–Build framework	30
Structure & Strategic Coherence	Clarity, alignment with Lumora strategy, overall quality of thought	10
Total		100

5. Student Response Template

Step 1: Option Identification

List 6–8 potential priorities (label S or E for Strategic or Enabling)

- 1.
- 2.
- 3.

...

Step 2: Importance / Addressability Matrix

(Insert matrix here – 2x2 quadrant – or summarize how you categorized)

Step 3: Selected Priorities and Horizons

List your top 2–3 Strategic and 2–3 Enabling priorities. Indicate Horizon and rationale.

Step 4: Action Portfolio

Fill in:

- **Stop:**
- **De-Emphasize:**
- **Invest:**
- **Build:**

6. Instructor Notes and Sample Solution

Sample Options List (Step 1)

Initiative	Type
Launch predictive analytics module for lab test prioritization	Strategic
Redesign onboarding experience for faster DDSS implementation	Enabling
Integrate with 3rd-party EHR systems (selective partnerships)	Strategic
Migrate to secure cloud infrastructure for scalability	Enabling
Discontinue pilot initiatives with radiology or hospital clients	Enabling
Establish compliance monitoring toolkit (for MDR/IVDR updates)	Enabling
Develop lab customer community & analytics dashboard (usage insights)	Strategic
Expand product documentation and local-language support in Austria	Enabling

Sample Matrix (Step 2)

(Abbreviated Summary)

- High Importance / High Addressability: Predictive Analytics, Onboarding Redesign, Compliance Toolkit
- High Importance / Low Addressability: EHR Integration
- Low Importance / High Addressability: Local Support Expansion
- Low Importance / Low Addressability: Radiology Pilots

Sample Portfolio (Step 3)

Priority	Type	Horizon	Rationale
Predictive Analytics Module	Strategic	H2	Strengthens DDSS value for labs, fits “precision at scale”
EHR Integration (select partners)	Strategic	H3	Prepares for future ecosystem shifts, high future value
Onboarding Redesign	Enabling	H1	Enables faster scaling in labs, directly supports operating model

Priority	Type	Horizon Rationale
Compliance Toolkit for MDR/IVDR	Enabling H1	Reinforces regulatory edge, enhances trust with labs
Cloud Infrastructure Migration	Enabling H2	Needed to scale cost-effectively and securely

Sample Action Portfolio (Step 4)

- **Stop:**
 - Radiology or mobile initiatives
 - D2C-facing user interface work
- **De-Emphasize:**
 - User interface redesign beyond labs' needs
 - Customization for individual lab preferences
- **Invest:**
 - Predictive analytics and onboarding UX
 - Compliance tracking and customer training
- **Build:**
 - Cloud-native deployment
 - Future-facing EHR interoperability pilots

7. Appendix: Summary of Strategic Direction and

1. Lumora's Strategic Choices (Finalized)

Strategic Choice	Final Decision
Geography	Germany and Austria only
Customer Segment	Diagnostic labs only (no private clinics, hospitals, or patients)
Product Focus	DDSS (Diagnostic Decision Support System) based on structured data

Strategic Choice	Final Decision
Value Proposition	“Precision diagnostics at scale” — emphasis on trust, compliance, integration
Operating Model	Scalable B2B SaaS; no D2C, scalable onboarding, no patient/hospital/radiology expansion

2. Leadership Perspectives and Quotes

- **CEO:** “We talk about being the best, but we haven’t defined what winning means for us now.”
- **CTO:** “Our DNA is reliability in diagnostics. As we innovate, we must not lose that trust factor.”
- **Head of Product:** “We need a big vision – like truly AI-driven diagnostics – something to rally around.”
- **HR Director:** “Our people believe in our purpose but want more ambition and innovation or we risk losing talent.”

3. Key Existing Activities (Selected Inventory)

Type	Examples
Strategic	Lab-focused DDSS delivery, compliance toolkits, integration development
Enabling	Radiology pilot (active), manual onboarding, custom deployments, on-prem installations
Known Issues	Radiology project consuming focus, over-customization, slow onboarding, limited cloud infrastructure

4. Challenges and Gaps

Area	Challenge Summary
Scalability	Custom implementations limit growth across labs
Technology	On-prem DDSS, only limited cloud/analytics deployment

Area	Challenge Summary
Culture	Risk-averse, quality-first but cautious to innovate or stop non-core work
People & Skills	Few cloud/data scientists; legacy hospital IT skills dominate
Partnerships	Very limited; no EHR or cloud tech partners
Incentives & KPIs	Sales reward off-strategy deals; no metrics for scale or predictiveness

5. Industry Trends (2025–2030 Foresight)

- AI will power ≥30% of diagnostic decisions → Lumora must integrate AI to remain relevant
 - Cloud-based, interoperable systems expected as standard
 - EU IVDR regulations tightening → Compliance becomes a competitive advantage
 - Labs under pressure for faster turnaround & system integration
 - Competitive space includes big tech & agile AI startups
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